

Data Centers Aren't the Problem. Scarcity Politics Is.

Jen Springman

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The future is arriving, and America is entering a new infrastructure age. Much of the political class is succumbing to a familiar temptation: slow it down by stoking fear of the unknown and imagining worst-case scenarios without acknowledging the benefits.

Nowhere is this clearer than with data centers. Across the country, local officials and community activists increasingly describe these facilities as threats to the electric grid, water supplies, and community character. In response, municipalities are turning to a usual toolkit of administrative

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resistance—emergency moratoriums, ad hoc zoning bans, and highly discretionary permitting loops designed to stop projects in their tracks rather than manage them.

This reactionary policymaking represents a fundamental misunderstanding about what a data center is and how it works.

Data centers are the railroads, power plants, and ports of the digital economy. They are the physical backbone of cloud computing, artificial intelligence, financial services, and nearly every modern enterprise. They do not merely serve “Big Tech,” but rather everyone who lives, works, learns, shops, banks, or communicates in the modern digital world.

The growth in demand is real. Artificial intelligence and advanced cloud computing require substantial power, land, cooling, and capital. Recognizing the physical constraints of this growth should not lead to the conclusion that data centers are villains.



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We are choosing between two competing visions of the future: a scarcity agenda that starts by saying no, and a prosperity agenda that trusts price signals and property rights to expand capacity and solve problems.

As a **recent series of papers** published by the Goldwater

Institute shows, the better question is whether public policy will allow America to expand capacity, price resources honestly, and build the infrastructure required for the next generation of prosperity.

On energy, the current panic has the problem backward. Data centers aren't creating an energy crisis; they are exposing the structural flaws in how we manage public utilities. Unlike other commodities, electricity must be balanced continuously. If demand rises and supply is constrained, the system must respond instantly. In most markets, scarcity is communicated through prices. Hotel rooms cost more during peak travel. Airline tickets rise when flights fill. Those prices tell consumers that capacity is limited.

Electricity markets often hide that signal. Wholesale prices spike when the grid is strained, but many retail customers continue paying fixed rates that conceal real-time scarcity. The result is predictable: consumers have little reason to shift demand, and large-load users may not face the right incentives to reduce strain when the system needs flexibility most.

The answer is not to punish data centers, but to fix the market signals that shape how they use power. Real-time pricing, peak charges, interruptible-service agreements, and clear large-load tariffs can push major users to manage demand, improve efficiency, generate their own power, or cut usage during periods of strain. At the same time, policymakers should remove the regulatory barriers blocking new reliable generation and transmission.

Water usage deserves the same thoughtful, evidence-based approach. While data centers do require cooling, portraying

them as unchecked resource drains misses the rapid innovations taking place.

Because water is a direct operating cost, developers have a built-in financial incentive to conserve. Market forces are already driving a massive shift toward closed-loop recycling systems and dry-air cooling. Our policies should remain technology-neutral, focusing on objective environmental outcomes at the property line rather than mandating specific engineering methods that risk locking obsolete standards into law.

Beyond resources, the current trend of blanket moratoriums threatens fundamental property rights. A landowner who follows the rules should not see them changed retroactively because a project has become the target of a cynical political campaign. Discretionary permitting, emergency moratoriums, and ad hoc zoning restrictions undermine the development certainty that long-term infrastructure requires. They also send a clear message to investors: build somewhere else.

That does not mean communities should be powerless or passive observers of the changes happening around them. Governments can and should enforce objective standards for safety, environmental protection, noise, traffic, utility connections, and land use. But once those standards are met, approval should be predictable and timely. Permit-by-rule systems and firm shot clocks would prevent regulators from killing projects through delay while preserving legitimate oversight.

Large users should also pay their own way. A beneficiary-pays model would require data-center developers to fund the substations, transmission upgrades, and dedicated

infrastructure their projects rely on, protecting residential ratepayers while allowing private capital to build and strengthen the grid America needs.

America has faced this choice before. Every major technological shift brings warnings that the future is arriving too fast. Sometimes those warnings identify real problems, but the answer to real problems is better policy—not retreat.

The digital economy and the future of AI will be built somewhere. By protecting property rights, pricing resources honestly, and holding developers accountable while still fostering innovation, we can ensure America leads this new era.

Jen Springman is the Coalitions Manager at the Goldwater Institute, where she works to build and strengthen strategic partnerships to assist in advancing Goldwater’s national policy initiatives.



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anon-g6jp



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Lucky Texan

2 months ago

Try putting one in your own yard.

0 0 Reply ↗

BL

BlacklegUnicorn

2 months ago

I would not be suprised if there was China funding to fuel the resistance to U.S. based AI infrastructure.

2 1 Reply ↗

AN

anon-badh

↗ BlacklegUnicorn

2 months ago

it's the most obvious foreign psy op i've ever seen, watched blow up the internet in real time. and americans are stupid enough to swallow it whole and regurgitate it word for word. china can't wait to win the AI race while we bury ourselves.

1 0 Reply ↗

C2

CG-23

↗ anon-badh

2 months ago

Then why do they only have a fraction of the numbers of AI centers that we do?.....it sure isn't for lack of high-tech resources.

0 0 Reply ↗

LR

Letters From Reality

2 months ago edited

data centers are a scourge! The data is us! They collect and steal all of our personal data! AI is a thief stealing the effeorts of real people! Fake everything!

1 1 Reply ↗



Tomcat_66

2 months ago

In Minneapolis and St. Paul, we have skyscrapers full of empty offices that are going bankrupt and selling for pennies on the dollar. Start converting them into data centers and kill the proverbial two birds with one stone. The buildings get tenants. Our cities' tax base begins expanding again. The buildings are already wired up and plumbed. No need to destroy farmland. Win-win.

1 0 Reply ↗

LE

LeftWingScareTactic

2 months ago

This message sponsored by the Data Centers Of America. Our motto: who asked you, peasant?

2 0 Reply

**Rightwing Gal**

2 months ago

No data center should be built unless there is provision for its future electricity use.

0 0 Reply

**Cafeblue32**

2 months ago

That's the beauty of the two party system. Since there are only two, why bother arguing over ideas and policies? Just assassinate the guy suggesting them and problem solved. Every one of these dumb SOBs know the SAVE act isn't Jim Crow 2.0, but it's a catchy slogan, so who cares? Politicians know it, the media knows it, Hollywood knows it, academia knows it, they all do. Just keep hammering how racist and defective as human beings the opposition is, making it true in the public eye regardless. Address the substance of the issues? Oh hell no. There's no emotional manipulation in that.

Two parties is asking for it, because it is by definition bipolar and divisive. It is too easy to turn it into personal warfare. And that is exactly what our politics has become since George W Bush was declared 'Not My President!' It went from debating policies and ideas to reputation destruction, character assassination, gossip innuendo, etc.

There has always been some of that, but until now it was never entirely that.

1 0 Reply

**Arec326**

2 months ago

- 1) This is not coming from politicians trying to scare people, it's coming from angry people.
- 2) We've had a digital economy for 30 years, why do we suddenly need huge warehouses full of servers next door to our houses?
- 3) Those other shifts you mention, like railroads and fiber-optic cables, were all over-invested and over-built leading to massive bankruptcy and recession.

1 1 Reply

**RubyCupcake**

2 months ago

Why are we defending data centers that'll bring us AI up the wazoo?

2 1 Reply

**LiveFreeOrDie**

→ RubyCupcake

—

2 months ago

If we don't dominate then China will. It's a binary choice.

7

1

Reply

**CG-23**

→ LiveFreeOrDie

—

2 months ago

Good...let China have them...they're a massive threat to our privacy and freedoms.

0

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Reply

**Mr. Kevin**

→ LiveFreeOrDie

—

2 months ago

Bingo...

0

0

Reply

**Jeffrey A**

→ LiveFreeOrDie

—

2 months ago edited

It's not a binary choice. China isn't the 'boogeyman'. Government is the 'boogeyman'. Destroying farmland, straining the electric grid, draining the water supply to increase the surveillance state and to move to a digital currency serves to empower government at the expense of citizens...didn't anyone pay attention to what the Canadian government did during the truckers strike to turn off people's wealth teach you anything? AI is merely an algorithm programmed by people.

2

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Reply

**Mr. Kevin**

→ Jeffrey A

—

2 months ago

Off base. AI is the future. We either acquire it first or end up slaves to the nation that does. Throughout history the nation developing a better weapon has always used it...without exception. America must win...period.

Data centers have been around decades and used for the same reason as today. For a digital economy to thrive, rapid exchange of data is mandatory. This means data centers will have to grow larger to handle the capacity.

1 0 Reply 



KatStance

→ Jeffrey A



2 months ago

Out west we need to address the water issues these centers need. There is a possible crisis already in the desert cities but the land is cheap.

1 0 Reply 



anon-badh

→ KatStance



2 months ago

If you just read above - the water issue is already much improved/nearly solved. energy issue is easy also - simply deregulate power generation (such as nuclear), and require as part of the deal, that data centers pay for and/or provide their own power. solved just like that.

1 0 Reply 



anon-dtrp

→ Jeffrey A



2 months ago

Every point you made is pretty much wrong. Lets go with destroying farmland. How much farmland sits idle and the government pays the owners not to grow crops. Millions on millions of acres. As far as the whole privacy issue goes, that concern is long past, unless you move to a remote spot, and go completely off the grid, which is almost impossible.

2 0 Reply 



Dr Strangelove



2 months ago

Bring back nuclear power and stop destroying dams to preserve bait fish.

11 0 Reply 



LiveFreeOrDie

→ Dr Strangelove



2 months ago

That's why Bill Gates is restarting Three Mile Island.

3 0 Reply 

DS

Dr Strangelove

2 months ago

Good.

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Reply

RU

RushBabe49

2 months ago

The bigger issue is the Surveillance State that the huge data centers are ushering in and enabling. The AI bubble is expanding almost as rapidly as the dotcom one did. And we know what happened to that one.

3

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Reply

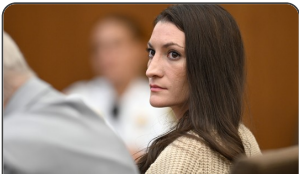
RL

Randy Larson

2 months ago

“We all know what happened to the [dotcom bubble]”. My dude, I don’t know if you have noticed, but we do almost all of our business online these days. Just because a few - okay, a large number of - companies overplayed their hands and went

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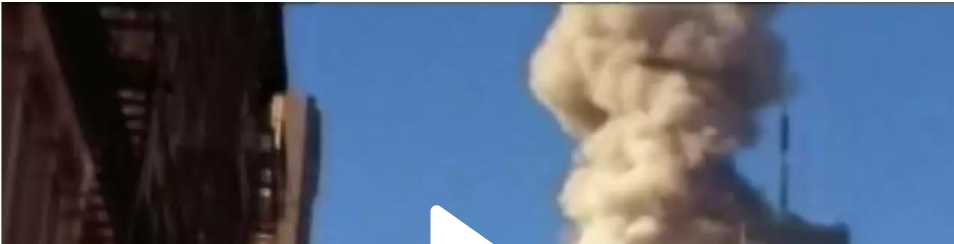


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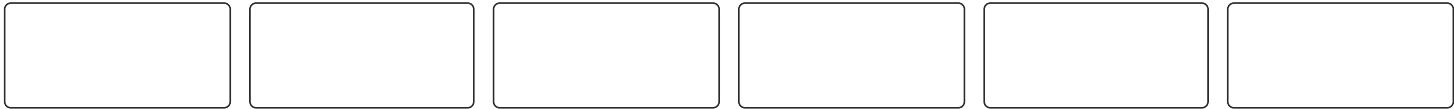


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